

REGULATORY GOVERNANCE AND INDEPENDENT REGULATORS

WHY A STATUTORY REGULATOR → TRILEMMA WITH PAIRED DESIGN → INDEPENDENCE SPECTRUM → HOW CAPTURE HAPPENS LAWFULLY → TWO DIRECTIONS OF FAILURE → SIX-TEST DESIGN CHECKLIST

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • active generation g1 • explicit approval of this exact generation is required • all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

00

STAGE 00 WHY A STATUTORY REGULATOR IS CREATED

WHY A STATUTORY REGULATOR IS CREATED TECHNICAL COMPLEXITY GENERALIST DEPARTMENTS CANNOT SET OR POLICE DETAILED SECTOR RULES INDIVIDUAL LICENSING AND TARIFF DECISIONS REMOVED FROM DAILY POLITICAL CONSISTENT RULE-MAKING THAT INVESTORS AND USERS CAN PLAN AGAINST

THE SAME INSULATION CREATES AN ACCOUNTABILITY PROBLEM AND A

CONSTITUTIONAL BASIS / ARTICLE

- TECHNICAL COMPLEXITY → generalist departments cannot set or police detailed sector rules
- INSULATION → individual licensing and tariff decisions removed from daily political direction

POWER / PROCEDURE

- PREDICTABILITY → consistent rule-making that investors and users can plan against
- COST → the same insulation creates an accountability problem and a capture risk

CHECK / LIMIT

- TECHNICAL COMPLEXITY → generalist departments cannot set or police detailed sector rules
- INSULATION → individual licensing and tariff decisions removed from daily political direction

FEDERAL / RIGHTS IMPACT

- PREDICTABILITY → consistent rule-making that investors and users can plan against
- COST → the same insulation creates an accountability problem and a capture risk

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PREDICTABILITY → consistent rule-making that investors and users can plan against.

01

STAGE 01 TRILEMMA WITH PAIRED DESIGN FEATURES

TRILEMMA WITH PAIRED DESIGN FEATURES FIXED-TERM APPOINTMENT ANNUAL REPORT LAID BEFORE PARLIAMENT FEE OR CESS FUNDING AUDIT OF THE REGULATOR'S OWN ACCOUNTS TECHNICAL COMPOSITION POLICY DIRECTIONS IN SPECIFIED CIRCUMSTANCES STATUTORY RULE-MAKING

CONSTITUTIONAL BASIS / ARTICLE

AUTONOMY: fixed-term appointment → ACCOUNTABILITY: annual report laid before Parliament

AUTONOMY: fee or cess funding → ACCOUNTABILITY: audit of the regulator's own accounts

POWER / PROCEDURE

AUTONOMY: technical composition → ACCOUNTABILITY: policy directions in specified circumstances

AUTONOMY: statutory rule-making → ACCOUNTABILITY: consultation with a published response

CHECK / LIMIT

AUTONOMY: security of tenure → ACCOUNTABILITY: appellate tribunal and judicial review

AUTONOMY: fixed-term appointment → ACCOUNTABILITY: annual report laid before Parliament

FEDERAL / RIGHTS IMPACT

AUTONOMY: fee or cess funding → ACCOUNTABILITY: audit of the regulator's own accounts

AUTONOMY: technical composition → ACCOUNTABILITY: policy directions in specified circumstances

CONSTITUTIONAL BASIS / ARTICLE

- AUTONOMY: fixed-term appointment → ACCOUNTABILITY: annual report laid before Parliament
- AUTONOMY: fee or cess funding → ACCOUNTABILITY: audit of the regulator's own accounts

POWER / PROCEDURE

- AUTONOMY: technical composition → ACCOUNTABILITY: policy directions in specified circumstances
- AUTONOMY: statutory rule-making → ACCOUNTABILITY: consultation with a published response

CHECK / LIMIT

- AUTONOMY: security of tenure → ACCOUNTABILITY: appellate tribunal and judicial review
- AUTONOMY: fixed-term appointment → ACCOUNTABILITY: annual report laid before Parliament

FEDERAL / RIGHTS IMPACT

- AUTONOMY: fee or cess funding → ACCOUNTABILITY: audit of the regulator's own accounts
- AUTONOMY: technical composition → ACCOUNTABILITY: policy directions in specified circumstances

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: statutory rule-making → ACCOUNTABILITY: consultation with a published response.

02

STAGE 02 INDEPENDENCE SPECTRUM

INDEPENDENCE SPECTRUM LOW END A MINISTRY-CONTROLLED DEPARTMENT STRONG POLITICAL CONTROL, WEAK INSULATION HIGH END FIXED TENURE, OWN FUNDING, REMOVAL FOR CAUSE, TECHNICAL COMPOSITION NO INDIAN REGULATOR SITS AT EITHER EXTREME; THE STATUTE

COMPARE THE FORMAL GRANT WITH THE WORKING REALITY FOR

CONSTITUTIONAL BASIS / ARTICLE

LOW END → a ministry-controlled department: strong political control, weak insulation

HIGH END → fixed tenure, own funding, removal for cause, technical composition

POWER / PROCEDURE

REALITY → no Indian regulator sits at either extreme; the statute fixes the placement

WEDGE → compare the formal grant with the working reality for the same body

CHECK / LIMIT

LOW END → a ministry-controlled department: strong political control, weak insulation

HIGH END → fixed tenure, own funding, removal for cause, technical composition

FEDERAL / RIGHTS IMPACT

REALITY → no Indian regulator sits at either extreme; the statute fixes the placement

WEDGE → compare the formal grant with the working reality for the same body

CONSTITUTIONAL BASIS / ARTICLE

- LOW END → a ministry-controlled department: strong political control, weak insulation
- HIGH END → fixed tenure, own funding, removal for cause, technical composition

POWER / PROCEDURE

- REALITY → no Indian regulator sits at either extreme; the statute fixes the placement
- WEDGE → compare the formal grant with the working reality for the same body

CHECK / LIMIT

- LOW END → a ministry-controlled department: strong political control, weak insulation
- HIGH END → fixed tenure, own funding, removal for cause, technical composition

FEDERAL / RIGHTS IMPACT

- REALITY → no Indian regulator sits at either extreme; the statute fixes the placement
- WEDGE → compare the formal grant with the working reality for the same body

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: WEDGE → compare the formal grant with the working reality for the same body.

03

STAGE 03 HOW CAPTURE HAPPENS LAWFULLY

composition

composition

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: WEDGE → compare the formal grant with the working reality for the same body.

03

STAGE 03

HOW CAPTURE HAPPENS LAWFULLY

HOW CAPTURE HAPPENS LAWFULLY

INFORMATION ASYMMETRY

THE INDUSTRY KNOWS THE SECTOR BETTER THAN THE REGULATOR

DEPENDENCE ON INDUSTRY DATA, EXPERTISE AND PERSONNEL BECOMES STRUCTURAL

REVOLVING DOOR, FUNDED RESEARCH AND REPEAT-PLAYER ACCESS SHAPE THE

FRAMING CAPTURE

THE REGULATOR ADOPTS THE INDUSTRY'S DEFINITION OF THE PROBLEM

ENTRY BARRIERS DESCRIBED AS QUALITY STANDARDS; NO ILLEGALITY IS

INFORMATION ASYMMETRY → the industry knows the sector better than the regulator

→

dependence on industry data, expertise and personnel becomes structural

→

revolving door, funded research and repeat-player access shape the agenda

→

framing capture: the regulator adopts the industry's definition of the problem

→

outcome: entry barriers described as quality standards; no illegality is needed

CONSTITUTIONAL BASIS / ARTICLE

• INFORMATION ASYMMETRY → the industry knows the sector better than the regulator

• dependence on industry data, expertise and personnel becomes structural

POWER / PROCEDURE

• revolving door, funded research and repeat-player access shape the agenda

• framing capture: the regulator adopts the industry's definition of the problem

CHECK / LIMIT

• outcome: entry barriers described as quality standards; no illegality is needed

• INFORMATION ASYMMETRY → the industry knows the sector better than the regulator

FEDERAL / RIGHTS IMPACT

• dependence on industry data, expertise and personnel becomes structural

• revolving door, funded research and repeat-player access shape the agenda

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: outcome: entry barriers described as quality standards; no illegality is needed.

04

STAGE 04

TWO DIRECTIONS OF FAILURE

TWO DIRECTIONS OF FAILURE

INDUSTRY CAPTURE

RULES THAT SERVE INCUMBENTS AND EXCLUDE ENTRANTS

MINISTERIAL CAPTURE

POLITICALLY TIMED DECISIONS AND SUPPRESSED TARIFFS

SHARED CORRECTIVE

CONSULTATION WITH PUBLISHED RESPONSES AND REASONED ORDERS

COOLING-OFF PERIODS, IN-HOUSE CAPACITY, USER REPRESENTATION

CONSTITUTIONAL BASIS / ARTICLE

• INDUSTRY CAPTURE → rules that serve incumbents and exclude entrants

• MINISTERIAL CAPTURE → politically timed decisions and suppressed tariffs

POWER / PROCEDURE

• SHARED CORRECTIVE → consultation with published responses and reasoned orders

• SHARED CORRECTIVE → cooling-off periods, in-house capacity, user representation

CHECK / LIMIT

• INDUSTRY CAPTURE → rules that serve incumbents and exclude entrants

• MINISTERIAL CAPTURE → politically timed decisions and suppressed tariffs

FEDERAL / RIGHTS IMPACT

• SHARED CORRECTIVE → consultation with published responses and reasoned orders

• SHARED CORRECTIVE → cooling-off periods, in-house capacity, user representation

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SHARED CORRECTIVE → cooling-off periods, in-house capacity, user representation.

05

STAGE 05

SIX-TEST DESIGN CHECKLIST

SIX-TEST DESIGN CHECKLIST

1 STATUTORY MANDATE

WHAT EXACTLY IS IT EMPOWERED TO DO, AND BY

2 APPOINTMENT AND REMOVAL

WHO SELECTS, ON WHAT CRITERIA, CAN REMOVAL BE ARBITRARY

3 FUNDING

DOES THE MONEY COME FROM A SOURCE THE MINISTRY

4 RULE-MAKING

1 STATUTORY MANDATE → what exactly is it empowered to do, and by which Act

→

2 APPOINTMENT AND REMOVAL → who selects, on what criteria, can removal be arbitrary

→

3 FUNDING → does the money come from a source the ministry or the industry

→

4 RULE-MAKING → pre-consultation, published response to comments, impact appraisal

CONSTITUTIONAL BASIS / ARTICLE

• 1 STATUTORY MANDATE → what exactly is it empowered to do, and by which Act

• 2 APPOINTMENT AND REMOVAL → who selects, on what criteria, can removal be arbitrary

POWER / PROCEDURE

• 3 FUNDING → does the money come from a source the ministry or the industry controls

• 4 RULE-MAKING → pre-consultation, published response to comments, impact appraisal

CHECK / LIMIT

• 5 ENFORCEMENT DUE PROCESS → notice, hearing, reasoned order, proportionality, no bias

• 6 REVIEW AND REPORTING → appellate route and reporting to the legislature

FEDERAL / RIGHTS IMPACT

• 1 STATUTORY MANDATE → what exactly is it empowered to do, and by which Act

• 2 APPOINTMENT AND REMOVAL → who selects, on what criteria, can removal be arbitrary

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 4 RULE-MAKING → pre-consultation, published response to comments, impact appraisal.

06

STAGE 06

COMPETITION REGULATOR CARD

COMPETITION REGULATOR CARD

PARENT STATUTE

THE COMPETITION ACT, 2002

ANTI-COMPETITIVE AGREEMENTS, ABUSE OF DOMINANCE, REVIEW OF COMBINATIONS

NATIONAL COMPANY LAW APPELLATE TRIBUNAL, THEN THE SUPREME COURT

OFFICIAL PURPOSE

AN ENABLING COMPETITION CULTURE, CONSUMER WELFARE, ECONOMIC GROWTH

NO CASE, PARTY, PENALTY AMOUNT OR ORDER DATE IS

CONSTITUTIONAL BASIS / ARTICLE

PARENT STATUTE → the Competition Act, 2002

FUNCTIONS → anti-competitive agreements, abuse of dominance, review of combinations

POWER / PROCEDURE

APPEAL → National Company Law Appellate Tribunal, then the Supreme Court

OFFICIAL PURPOSE → an enabling competition culture, consumer welfare, economic growth

CHECK / LIMIT

BOUNDARY → no case, party, penalty amount or order date is asserted anywhere

PARENT STATUTE → the Competition Act, 2002

FEDERAL / RIGHTS IMPACT

FUNCTIONS → anti-competitive agreements, abuse of dominance, review of combinations

APPEAL → National Company Law Appellate Tribunal, then the Supreme Court

REGULATORY GOVERNANCE AND INDEPENDENT REGULATORS • TILE 2/4 • same master rows 2853-6087 of 11794 • continues below

07

COMPETITION REGULATOR CARD

PARENT STATUTE

THE COMPETITION ACT, 2002

ANTI-COMPETITIVE AGREEMENTS, ABUSE OF DOMINANCE, REVIEW OF COMBINATIONS

NATIONAL COMPANY LAW APPELLATE TRIBUNAL, THEN THE SUPREME COURT

OFFICIAL PURPOSE

AN ENABLING COMPETITION CULTURE, CONSUMER WELFARE, ECONOMIC GROWTH

NO CASE, PARTY, PENALTY AMOUNT OR ORDER DATE IS

CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
PARENT STATUTE → the Competition Act, 2002	APPEAL → National Company Law Appellate Tribunal, then the Supreme Court	BOUNDARY → no case, party, penalty amount or order date is asserted anywhere	FUNCTIONS → anti-competitive agreements, abuse of dominance, review of combinations
FUNCTIONS → anti-competitive agreements, abuse of dominance, review of combinations	OFFICIAL PURPOSE → an enabling competition culture, consumer welfare, economic growth	PARENT STATUTE → the Competition Act, 2002	APPEAL → National Company Law Appellate Tribunal, then the Supreme Court

CONSTITUTIONAL BASIS / ARTICLE

- PARENT STATUTE → the Competition Act, 2002
- FUNCTIONS → anti-competitive agreements, abuse of dominance, review of combinations

POWER / PROCEDURE

- APPEAL → National Company Law Appellate Tribunal, then the Supreme Court
- OFFICIAL PURPOSE → an enabling competition culture, consumer welfare, economic growth

CHECK / LIMIT

- BOUNDARY → no case, party, penalty amount or order date is asserted anywhere
- PARENT STATUTE → the Competition Act, 2002

FEDERAL / RIGHTS IMPACT

- FUNCTIONS → anti-competitive agreements, abuse of dominance, review of combinations
- APPEAL → National Company Law Appellate Tribunal, then the Supreme Court

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: BOUNDARY → no case, party, penalty amount or order date is asserted anywhere.

08

STAGE 07

DOMINANCE AGAINST ABUSE

DOMINANCE AGAINST ABUSE

HOLDING A DOMINANT POSITION IN A DEFINED RELEVANT MARKET

PREDATORY OR UNFAIR PRICING; UNFAIR OR DISCRIMINATORY CONDITIONS

LIMITING PRODUCTION OR TECHNICAL DEVELOPMENT; DENIAL OF MARKET ACCESS

TYING AND BUNDLING; LEVERAGING DOMINANCE INTO AN ADJACENT MARKET

CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
LAWFUL → holding a dominant position in a defined relevant market	UNLAWFUL → limiting production or technical development; denial of market access	LAWFUL → holding a dominant position in a defined relevant market	UNLAWFUL → limiting production or technical development; denial of market access
UNLAWFUL → predatory or unfair pricing; unfair or discriminatory conditions	UNLAWFUL → tying and bundling; leveraging dominance into an adjacent market	UNLAWFUL → predatory or unfair pricing; unfair or discriminatory conditions	UNLAWFUL → tying and bundling; leveraging dominance into an adjacent market

CONSTITUTIONAL BASIS / ARTICLE

- LAWFUL → holding a dominant position in a defined relevant market
- UNLAWFUL → predatory or unfair pricing; unfair or discriminatory conditions

POWER / PROCEDURE

- UNLAWFUL → limiting production or technical development; denial of market access
- UNLAWFUL → tying and bundling; leveraging dominance into an adjacent market

CHECK / LIMIT

- LAWFUL → holding a dominant position in a defined relevant market
- UNLAWFUL → predatory or unfair pricing; unfair or discriminatory conditions

FEDERAL / RIGHTS IMPACT

- UNLAWFUL → limiting production or technical development; denial of market access
- UNLAWFUL → tying and bundling; leveraging dominance into an adjacent market

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: UNLAWFUL → tying and bundling; leveraging dominance into an adjacent market.

09

STAGE 08

TWO REGULATORY CLOCKS

TWO REGULATORY CLOCKS

SECTOR REGULATOR

LICENCES, TARIFFS, TECHNICAL STANDARDS, ENTRY CONDITIONS

COMPETITION REGULATOR

CONDUCT ACROSS THE WHOLE ECONOMY AFTER THE EVENT

A GENUINE JURISDICTIONAL QUESTION, NOT AN OVERSIGHT IN THE

REMEDIES ARRIVE AFTER THE MARKET STRUCTURE HAS ALREADY SHIFTED

CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
SECTOR REGULATOR → ex-ante: licences, tariffs, technical standards, entry conditions	OVERLAP → a genuine jurisdictional question, not an oversight in the design	SECTOR REGULATOR → ex-ante: licences, tariffs, technical standards, entry conditions	OVERLAP → a genuine jurisdictional question, not an oversight in the design
COMPETITION REGULATOR → ex-post: conduct across the whole economy after the event	LIMIT → remedies arrive after the market structure has already shifted	COMPETITION REGULATOR → ex-post: conduct across the whole economy after the event	LIMIT → remedies arrive after the market structure has already shifted

CONSTITUTIONAL BASIS / ARTICLE

- SECTOR REGULATOR → ex-ante: licences, tariffs, technical standards, entry conditions
- COMPETITION REGULATOR → ex-post: conduct across the whole economy after the event

POWER / PROCEDURE

- OVERLAP → a genuine jurisdictional question, not an oversight in the design
- LIMIT → remedies arrive after the market structure has already shifted

CHECK / LIMIT

- SECTOR REGULATOR → ex-ante: licences, tariffs, technical standards, entry conditions
- COMPETITION REGULATOR → ex-post: conduct across the whole economy after the event

FEDERAL / RIGHTS IMPACT

- OVERLAP → a genuine jurisdictional question, not an oversight in the design
- LIMIT → remedies arrive after the market structure has already shifted

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: LIMIT → remedies arrive after the market structure has already shifted.

STAGE 09

TRIBUNAL REFORM TIMELINE

TRIBUNAL REFORM TIMELINE

THE TRIBUNALS REFORMS ACT ABOLISHES NAMED APPELLATE BODIES, FUNCTIONS

19 NOVEMBER 2025

2025 INSC 1330 INVALIDATES FOUR HEADS OF RE-ENACTED PROVISIONS

SAME JUDGMENT

EARLIER MADRAS BAR ASSOCIATION STANDARDS MADE CONTROLLING

A NATIONAL TRIBUNALS COMMISSION DIRECTED WITHIN FOUR MONTHS

9 MARCH 2026

2021 → the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts

19 NOVEMBER 2025 → 2025 INSC 1330 invalidates four heads of re-enacted provisions

SAME JUDGMENT → earlier Madras Bar Association standards made controlling

SAME JUDGMENT → a National Tribunals Commission directed within four months

9 MARCH 2026 → interim extensions for specified incumbents to 8 September 2026

CONSTITUTIONAL BASIS / ARTICLE	POWER / PROCEDURE	CHECK / LIMIT	FEDERAL / RIGHTS IMPACT
2021 → the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts	SAME JUDGMENT → earlier Madras Bar Association standards made controlling	9 MARCH 2026 → interim extensions for specified incumbents to 8 September 2026	2021 → the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts
	SAME JUDGMENT → a National Tribunals Commission directed within four		

CONSTITUTIONAL BASIS / ARTICLE

- 2021 → the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts

POWER / PROCEDURE

- SAME JUDGMENT → earlier Madras Bar Association standards made controlling
- SAME JUDGMENT → a National Tribunals Commission directed within four

CHECK / LIMIT

- 9 MARCH 2026 → interim extensions for specified incumbents to 8 September 2026

FEDERAL / RIGHTS IMPACT

- 2021 → the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts

REGULATORY GOVERNANCE AND INDEPENDENT REGULATORS • TILE 3/4 • same master rows 5707-8941 of 11794 • continues below

A NATIONAL TRIBUNALS COMMISSION DIRECTED WITHIN FOUR MONTHS

9 MARCH 2026

2021 → the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts

19 NOVEMBER 2025 → 2025 INSC 1330 invalidates four heads of re-enacted provisions

SAME JUDGMENT → earlier Madras Bar Association standards made controlling

SAME JUDGMENT → a National Tribunals Commission directed within four months

9 MARCH 2026 → interim extensions for specified incumbents to 8 September 2026

CONSTITUTIONAL BASIS / ARTICLE

• 2021 → the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts

• 19 NOVEMBER 2025 → 2025 INSC 1330 invalidates four heads of re-enacted provisions

POWER / PROCEDURE

• SAME JUDGMENT → earlier Madras Bar Association standards made controlling

• SAME JUDGMENT → a National Tribunals Commission directed within four months

CHECK / LIMIT

• 9 MARCH 2026 → interim extensions for specified incumbents to 8 September 2026

• 13 AUGUST 2026 → no establishment notification located; implementation unresolved

FEDERAL / RIGHTS IMPACT

• 2021 → the Tribunals Reforms Act abolishes named appellate bodies, functions to High Courts

• 19 NOVEMBER 2025 → 2025 INSC 1330 invalidates four heads of re-enacted provisions

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: 13 AUGUST 2026 → no establishment notification located; implementation unresolved.

10

STAGE 10

ARCHITECTURE PROPOSAL AGAINST ADOPTION

ARCHITECTURE PROPOSAL AGAINST ADOPTION

A UNIFIED FINANCIAL AGENCY ON A REGULATION-BY-ACTIVITY PRINCIPLE, 2013

SUBSUMING MOST FINANCIAL REGULATORS, EXCLUDING THE CENTRAL BANK

SEPARATE PROPOSAL

A DRAFT INDIAN FINANCIAL CODE CONSOLIDATING THE LEGISLATION

NEITHER IMPLEMENTED IN FULL; A 2015 MERGER IS A

PROPOSAL → a Unified Financial Agency on a regulation-by-activity principle, 2013

SCOPE → subsuming most financial regulators, excluding the central bank

SEPARATE PROPOSAL → a draft Indian Financial Code consolidating the legislation

OUTCOME → neither implemented in full; a 2015 merger is a partial related step only

CONSTITUTIONAL BASIS / ARTICLE

• PROPOSAL → a Unified Financial Agency on a regulation-by-activity principle, 2013

• SCOPE → subsuming most financial regulators, excluding the central bank

POWER / PROCEDURE

• SEPARATE PROPOSAL → a draft Indian Financial Code consolidating the legislation

• OUTCOME → neither implemented in full; a 2015 merger is a partial related step only

CHECK / LIMIT

• PROPOSAL → a Unified Financial Agency on a regulation-by-activity principle, 2013

• SCOPE → subsuming most financial regulators, excluding the central bank

FEDERAL / RIGHTS IMPACT

• SEPARATE PROPOSAL → a draft Indian Financial Code consolidating the legislation

• OUTCOME → neither implemented in full; a 2015 merger is a partial related step only

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OUTCOME → neither implemented in full; a 2015 merger is a partial related step only.

11

STAGE 11

ANSWER SPINE FOR A REGULATORY DEMAND

ANSWER SPINE FOR A REGULATORY DEMAND

STATUTORY CHARACTER FIRST

STATUTORY, NOT CONSTITUTIONAL, NOT EXECUTIVE-CREATED

MANDATE, FUNCTION AND APPELLATE ROUTE, THEN THE TRILEMMA AND

APPLY THE SIX TESTS AND NAME BOTH DIRECTIONS OF

GRADED VERDICT, DATED STATUS FOR ANYTHING UNRESOLVED, STATED QUESTION

OPEN → statutory character first: statutory, not constitutional, not executive-created

BUILD → mandate, function and appellate route, then the trilemma and capture mechanism

CORRECT → apply the six tests and name both directions of capture with correctives

CLOSE → graded verdict, dated status for anything unresolved, stated question ownership

CONSTITUTIONAL BASIS / ARTICLE

• OPEN → statutory character first: statutory, not constitutional, not executive-created

• BUILD → mandate, function and appellate route, then the trilemma and capture mechanism

POWER / PROCEDURE

• CORRECT → apply the six tests and name both directions of capture with correctives

• CLOSE → graded verdict, dated status for anything unresolved, stated question ownership

CHECK / LIMIT

• OPEN → statutory character first: statutory, not constitutional, not executive-created

• BUILD → mandate, function and appellate route, then the trilemma and capture mechanism

FEDERAL / RIGHTS IMPACT

• CORRECT → apply the six tests and name both directions of capture with correctives

• CLOSE → graded verdict, dated status for anything unresolved, stated question ownership

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE → graded verdict, dated status for anything unresolved, stated question ownership.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT

THE 2025 PYQ'S FRAMING ("ASSESS THE IMPACT") INVITES AN

FSLRC'S UNIMPLEMENTED UNIFIED FINANCIAL AGENCY PROPOSAL AND THE SECOND

SEARCH-CUM-SELECTION COMMITTEES REDUCE BUT DO NOT ELIMINATE EXECUTIVE INFLUENCE

THE TRIBUNALS REFORMS ACT, 2021 AS ENACTED PRESCRIBED A

FSLRC (2013) ADDITIONALLY PROPOSED A DRAFT INDIAN FINANCIAL CODE

INDIVIDUAL SECTORAL REGULATORS (RBI, SEBI, TRAI, CCI, ETC.) HAVE

RBI'S RELATIVELY STRONG DE FACTO INDEPENDENCE (OWN FUNDING THROUGH

OPTIONAL INSTITUTIONAL DEPTH

• CAUTION: The 2025 PYQ's framing ("assess the impact") invites an explicitly two-sided answer:

• CAUTION: FSLRC's unimplemented Unified Financial Agency proposal and the Second ARC's selective

• CAUTION: Search-cum-selection committees reduce but do not eliminate executive influence over

• The Tribunals Reforms Act, 2021 as enacted prescribed a fifty-year minimum age for

STATUS / DATA CLAIM LIMIT

• FSLRC (2013) additionally proposed a draft Indian Financial Code intended to

• CAUTION: Individual sectoral regulators (RBI, SEBI, TRAI, CCI, etc.) have each undergone their

• CAUTION: RBI's relatively strong de facto independence (own funding through seigniorage/

• CAUTION: Boundary case: a tribunal whose function was abolished under the 2021 Act and

COMPARATIVE GOVERNANCE NUANCE

• CAUTION: The 2015 FMC-SEBI merger, often cited as influenced by FSLRC's direction, illustrates

• CAUTION: Greater regulatory independence reduces short-term political interference risk but can

• CAUTION: Reducing the number of tribunals (2021 Act) lowers appointment-delay and duplication

• CAUTION: FSLRC-style comprehensive unification could reduce regulatory arbitrage but risks

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.